No. 25-20366

In the United States Court of Appeals for the Fifth Circuit

CANDEL & PARTNERS SAS
Movant–Appellant,

v.

ExxonMobil Corporation
Defendant–Appellee.

On Appeal from the United States District Court for the Southern District of Texas,
No. 4:24-mc-01948-KPE

# BRIEF OF APPELLANT CANDEL & PARTNERS SAS


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November 3, 2025

# CERTIFICATE OF INTERESTED PERSONS

The undersigned counsel of record certifies that the following list of persons and entities as described in the fourth sentence of Federal Rule of Appellate Procedure 28.2.1 have an interest in the outcome of this case. These representations are made in order that the judges of this Court may evaluate possible disqualifications or recusal.

*Appellant:* Candel & Partners SAS. *Appellant's counsel:* Gabriela M. Ruiz and Stephen R. Halpin III, King & Ruiz LLP, Miami, Florida and New York, New York.

*Appellee:* ExxonMobil Corporation. *Appellee's counsel:* Santosh Aravind and Rachel Stephenson, Scott Douglass & McConnico, LLP, Austin, Texas.

Allan Green, owner of Candel. Candel has no parent corporation, and no publicly held corporation owns 10% or more of its stock. Benjamin Tolub, Chief Executive Officer of Candel. Esso S.A.F., a subsidiary of ExxonMobil in which Candel is a minority shareholder. Charles Amyot, Chief Executive Officer and Chairman of Esso. North Atlantic, a company in negotiations with ExxonMobil to acquire ExxonMobil's controlling stake in Esso.

/s/ Gabriela M. Ruiz

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## STATEMENT REGARDING ORAL ARGUMENT

Appellant Candel & Partners SAS ("Candel") submits that oral argument would aid the Court. Candel maintains that the district court's failure to explain its decision below warrants vacatur and remand, just as in *Banco Mercantil de Norte, S.A. v. Paramo*, 114 F.4th 757 (5th Cir. 2024). But should the Court have questions on that point, or on the factors articulated by the Supreme Court in *Intel Corp. v. Advanced Micro Devices, Inc.*, 542 U.S. 241 (2004), and their application here, Candel would welcome the opportunity to address the panel in person.

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## STATEMENT OF SUBJECT-MATTER AND APPELLATE JURISDICTION

Candel commenced the action below by filing an application to take discovery for use in a foreign proceeding under 28 U.S.C. § 1782 (the "Application"). The district court had subject-matter jurisdiction pursuant to 28 U.S.C. §§ 1331 and 1782. ROA.1399.

After initially granting the Application on an ex parte basis on December 13, 2024, ROA.1416–17, the district court orally granted ExxonMobil's motion to quash the Application ("Motion to Quash") at a hearing on May 13, 2025 (the "May 13, 2025 ruling"). ROA.2007–08. On July 24, 2025, the district court entered an order denying Candel's motion for reconsideration and entered "final judgment" for ExxonMobil. ROA.1971. On August 21, 2025, Candel timely noticed this appeal. ROA.1972.

This Court has appellate jurisdiction pursuant to 28 U.S.C. § 1291. *Texas Keystone, Inc. v. Prime Nat. Res., Inc.*, 694 F.3d 548, 552 (5th Cir. 2012) (per curiam).

## STATEMENT OF ISSUES

1. This Court has "previously held that a district court must offer reasoning whenever it grants a motion to quash § 1782 discovery." *Banco Mercantil de Norte, S.A. v. Paramo*, 114 F.4th 757, 758 (5th Cir. 2024). Did the district court here err by failing to adequately explain its decision to grant ExxonMobil's Motion to Quash the Application?

2. In deciding whether to authorize discovery under § 1782, a district court should consider the four factors identified by the Supreme Court in *Intel Corp. v. Advanced Micro Devices, Inc.*, 542 U.S. 241 (2004) (the "Intel factors"). *Ecuadorian Plaintiffs v. Chevron Corp.*, 619 F.3d 373, 376 (5th Cir. 2010). Did the district court here abuse its discretion in ruling that the Intel factors weighed against the discovery sought by Candel?

## STATEMENT OF THE CASE

### A. Factual Background

Candel is a minority shareholder in the French company Esso S.A.F. ("Esso"), holding 84,700 duly registered shares. ROA.25. ExxonMobil is Esso's controlling shareholder through indirect ownership of the majority (82.89%) of Esso's shares. ROA.1289–90. Over the last few years, Candel has developed evidence that Charles Amyot, Esso's Chief Executive Officer and Chairman, has been operating Esso for the benefit of ExxonMobil at the expense of minority shareholders like Candel, including through the use of secretive related-party transactions with ExxonMobil.

Accordingly, on November 7, 2024, Candel commenced a derivative action against Mr. Amyot in France asserting violations of law and mismanagement of Esso (the "French Proceeding"). By its Application here, Candel seeks evidence

from ExxonMobil for use in the French Proceeding. *See* 28 U.S.C. § 1782(a).[1]

Esso is deeply embedded in the ExxonMobil group. In fact, related-party agreements account for 33.7% of Esso's sales and 71% of its purchases. ROA.1371, 1373. French law imposes certain reporting and governance requirements for shareholders to monitor and regulate such related-party transactions, and noncompliance may result in civil or criminal liability for directors. ROA.1374–75. These requirements ensure that related-party transactions are in the best interests of the corporation, and not just in the self-interest of controlling shareholders at the expense of minority shareholders. ROA.1375–76.

### B. Procedural History

The district court initially granted the Application ex parte and preserved ExxonMobil's right to move to quash. ROA.1416–17. ExxonMobil then moved to quash. At the May 13, 2025 hearing, the district court granted the motion to quash and stated its complete application of the Intel factors. ROA.2007–08.

## SUMMARY OF THE ARGUMENT

A district court's review of an application for discovery under 28 U.S.C. § 1782 proceeds in two steps. The court must first determine whether the statutory requirements are satisfied. If so, the court then decides whether to exercise its discretion to order discovery.

[1]The district court's May 13, 2025 ruling includes no factual recitation or findings of fact. This Factual Background is drawn from Candel's memorandum in support of its Application and other supporting papers.

As to the statutory requirements, § 1782(a) authorizes a district court to order a person who "resides or is found" within its district "to give his testimony or statement or to produce a document or other thing for use in a proceeding in a foreign or international tribunal" when such discovery is requested by an "interested person." 28 U.S.C. § 1782(a). Here, ExxonMobil has never disputed the statutory requirements are satisfied. This appeal concerns only the second step of the § 1782 inquiry.

At that step, a district court should consider the four discretionary Intel factors. *Ecuadorian Plaintiffs v. Chevron Corp.*, 619 F.3d 373, 377 n.3 (5th Cir. 2010). Whether the court ultimately permits or denies § 1782 discovery after weighing the Intel factors, the court "must offer reasoning" and "explain" its decision. *Banco Mercantil de Norte, S.A. v. Paramo*, 114 F.4th 757, 758–59 (5th Cir. 2024). Failure to do so warrants vacatur and remand. *Id.* at 759.

The district court's May 13, 2025 ruling is little more than a recitation of the Intel factors. It does not explain why the court found the factors favored ExxonMobil. This Court can and should vacate and remand solely on this basis.

Further scrutiny inspires no more confidence. That ExxonMobil is not a participant in the French Proceeding weighs in favor of discovery under the first Intel factor. On the second Intel factor, other U.S. federal courts have routinely found French courts receptive to § 1782 discovery, and the district court mentions no "authoritative proof" the French court here would reject the specific requested

discovery. The district court's May 13, 2025 ruling lacks a reasoned explanation, which is required under controlling authority. This Court should vacate and remand.

# ARGUMENT

## I. The district court's grant of ExxonMobil's Motion to Quash and denial of § 1782 discovery without providing reasoning contravenes this Court's precedent.

This Court has recognized for decades, if not longer, that a district court must explain its reasons for quashing a subpoena in ordinary civil litigation. And the Court has since made clear that rule extends with full force to subpoenas issued pursuant to applications under 28 U.S.C. § 1782. Indeed, the rule is especially important in the § 1782 context, where there are no subsequent motions to dismiss, motions for summary judgment, or trials before a judge or jury. Granting a motion to quash § 1782 discovery ends the case, and only by explaining such a decision can a district court enable this Court to effectively review it.

Here, the district court failed to explain its decision to grant ExxonMobil's Motion to Quash. Its summary incantation of the Intel factors at the May 13, 2025 hearing does nothing to guide this Court's review on appeal. Consistent with prior precedent, the Court should vacate and remand with instructions.

### A. A district court must explain its decision to deny a § 1782 application or quash a subpoena.

Last August, this Court reiterated: "We have previously held that a district court must offer reasoning whenever it grants a motion to quash § 1782 discovery."

*Banco Mercantil de Norte, S.A. v. Paramo*, 114 F.4th 757, 758 (5th Cir. 2024); *Bravo Express Corp. v. Total Petrochemicals & Ref. U.S.*, 613 F. App'x 319, 320 (5th Cir. 2015) (per curiam) (unpublished) (same). As the Court explained in both *Paramo* and *Bravo Express*, the rule is well grounded in Circuit precedent.[2]

For example, in *Texas Keystone, Inc. v. Prime Natural Resources, Inc.*, 694 F.3d 548, 555 (5th Cir. 2012) (per curiam), "the party from whom discovery was sought under § 1782(a) filed a motion to quash the discovery subpoenas. The district court granted the motion to quash, but [this Court] vacated the order, holding that 'the district court . . . abused its discretion by providing no reasons for its decision[.]'" *Bravo Express*, 613 F. App'x at 324 (quoting *Texas Keystone*, 694 F.3d at 555).

Additionally, in *Wiwa v. Royal Dutch Petroleum Co.*, 392 F.3d 812 (5th Cir. 2004), this Court explained that "'modification of a subpoena is preferable to quashing it outright,' and a district court abuses its discretion when it does not explain its reasoning, does not allow the applicant an opportunity to cure any defects, and does not 'attempt to modify the subpoena to cure any overbreadth.'" *Bravo Express*, 613 F. App'x at 325 (quoting *Wiwa*, 392 F.3d at 818–19).

When a district court fails to explain its decision to grant a motion to quash and deny § 1782 discovery, this Court may vacate and remand "to the district court

[2]The *Bravo Express* opinion was not published, but it relied squarely on prior precedent of the Court. *See* 5th Cir. R. 47.5.1 (counseling against "publication of opinions that merely decide particular cases on the basis of well-settled principles of law").

with instructions to provide oral or written reasons for its decision, should it deny the [§ 1782] application." *Bravo Express*, 613 F. App'x at 325; *see also Texas Keystone*, 694 F.3d at 556.

### B. The district court failed to explain its decision to grant ExxonMobil's Motion to Quash, hindering this Court's ability to effectively review the decision on appeal.

Here, the district court initially granted Candel's Application in a written order on December 13, 2024. ROA.1416–17. Thereafter, the court granted ExxonMobil's Motion to Quash after a May 13, 2025 hearing. ROA.2007–08. At the hearing, the court found that "under the [Intel] factors the balance of authority cuts sharply toward Exxon," but the court then offered minimal explanation or reasoning to illuminate its decision. ROA.2007–08. The court did not issue a written decision on the Motion to Quash.

## CONCLUSION

For all the foregoing reasons, Candel respectfully requests that this Court vacate the district court's May 13, 2025 ruling and Final Judgment and remand with instructions.

Dated: November 3, 2025

Respectfully submitted,

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## CERTIFICATE OF SERVICE

I hereby certify that the foregoing has been filed on this 3rd day of November, 2025, using the Court's CM/ECF system, which will serve the foregoing on all parties through counsel of record.

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## CERTIFICATE OF COMPLIANCE

I hereby certify that the foregoing brief complies with the type-volume limitation of Federal Rule of Appellate Procedure 32(a)(7)(B) because it contains 1,577 words, excluding the parts of the brief exempted by Federal Rule of Appellate Procedure 32(f). The brief complies with the typeface and type-style requirements of Federal Rule of Appellate Procedure 32(a)(5) and (6) because it is set in a proportionally spaced serif typeface, 14-point or larger, and the footnotes are set in 12-point type.

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